www.tntextbooks.in

(ii) Endorsement, renewal and dishonor of bill of exchange which cannot be recorded through bills book.

(iii) Other adjustments like interest on capital, bad debts, reserves, etc.

(iv) Goods withdrawn by the owner for personal use.

(v) Goods distributed as samples for sales promotion.

(vi) Loss of goods by fire, theft and spoilage.

Illustration 7

Record the following transactions of Vijay Electrical & Co., in the purchases book, purchases returns book, sales book and sales returns book.

2017

Jan 1 Purchased on credit from Preethi & Co.,
25 table fans @ ` 1,400 each
10 fans @ ` 2,000 each
Add: Auto charges @ ` 100

Jan 5 Sold on credit to Sheela & co.,
10 electric iron box @ ` 1,250 each
20 electric stoves @ ` 450 each
Less: 10% Trade discount

Jan 10 Purchased for cash from Brinda & Co.,
10 electric stoves @ ` 1,300 each

Jan 18 Returned to Preethi & Co.,
5 table fans being defective for which cash is not received

Jan 20 Purchased from Sathya & Co.,
10 fans @ ` 1,200 each
Less: Trade discount 5%

Jan 21 Sheela & Co., returned 3 electric iron boxes as defective for which cash is not paid

Jan 23 Purchased from Elizabeth & Co., 10 water purifiers @ ` 4,700 each on credit

Jan 25 Sold on credit to M/s. Bhavani & Co., 7 fans @ ` 1,450 each

Jan 27 Returned to Sathya & Co., 2 damaged fans for which cash is not received